

Stereo. HCJDA 38
JUDGMENT SHEET
LAHORE HIGH COURT, LAHORE
JUDICIAL DEPARTMENT

Writ Petition No. 5801/2022

Muhammad Tahir Nawaz Cheema etc.

Vs.

Federation of Pakistan etc.

JUDGMENT

Date of hearing	12.05.2022
For the Petitioners:	M/s Shahid Anwar Bajwa, Ijaz Ahmad Awan, Kh. Mohsin Abbas, Adnan Qamar Malik, Sultan Ali Awan, Rana Muhammad Nafees and Abdul Rehman Bajwa, Advocates.
For Respondents No.1 & 2:	Syed Muhammad Haider Kazmi, Assistant Attorney General.
For Respondents No.3 to 5:	Hafiz Tariq Nasim, Advocate.

Tariq Saleem Sheikh, J:- This consolidated judgment shall decide Writ Petition No. 5801/2022 and those mentioned in the Schedule hereto.

2. The Petitioners are the regular employees of National Engineering Services Pakistan (Private) Limited (“NESPAK”). According to their terms of service, either party could terminate the employment on three months’ written notice or payment of three months’ salary in lieu thereof without assigning any reason. On 11.01.2022 NESPAK invoked the said clause and “dispensed with” the Petitioners’ services “with immediate effect.” They have challenged their Termination Letters (the “Impugned Termination Letters”) through these petitions under Article 199 of the Constitution of Islamic Republic of Pakistan, 1973 (the “Constitution”).

3. Mr. Shahid Anwar Bajwa, Advocate, the Petitioners’ learned counsel, contends that the Securities & Exchange Commission of Pakistan (“SECP”) has framed the Public Sector Companies (Corporate Governance) Rules, 2013 (the “Corporate Governance Rules”) to regulate

the public sector companies as defined in Rule 2(1)(g). NESPAK is subject to those Rules as it is a State-owned enterprise. It has terminated the Petitioners in complete disregard thereof with the *malafide* intent to create room for political appointments. He argues that the Impugned Termination Letters are bad in law and thus liable to be quashed.

4. The counsel for NESPAK (Respondents No.3) and its principal officers (Respondents No.4 & 5), Hafiz Tariq Nasim, Advocate, submits that NESPAK has framed the Employees Service Rules which apply to all classes of whole-time monthly paid employees of the company except those on deputation or contract. They are in force since 1973 with minor modifications. The SECP notified the Corporate Governance Rules in 2013 to improve the performance and profitability of the public sector companies by bringing in an efficient management and creating an environment of trust, transparency and accountability. They do not bar such companies from framing any other rules or issuing guidelines or instructions to further improve their working. NESPAK's Employees Service Rules supplement the Corporate Governance Rules and are thus valid and enforceable. Mr. Nasim contends that the Petitioners' grievance relates to the terms and conditions of service which are the subject of the Employees Service Rules. Since the said Rules are non-statutory, the Petitioners are governed by the principle of master and servant and this petition is not maintainable. On merits, the counsel contends that the Petitioners' Letters of Appointment perspicuously state that either party could break off after three months' written notice or payment of three months' salary in lieu thereof without assigning any reason. NESPAK has lawfully exercised that right so they have no cause of action.

5. The Assistant Attorney General, who represents Respondents No.1 & 2, has adopted Mr. Nasim's arguments.

Discussion

6. The Respondents have raised preliminary objection regarding maintainability of these petitions. I would like to decide it before dilating upon merits.

7. An aggrieved party can invoke the jurisdiction of this Court under Article 199(1)(a) of the Constitution against a person performing, within its territorial jurisdiction, functions in connection with the affairs of the federation, or a province or a local authority. Article 199(5) elucidates that “person” includes any body politic or body corporate, any authority controlled by the Federal Government or a Provincial Government, and any court or tribunal, other than the Supreme Court, a High Court or a court or tribunal established under a law relating to the armed forces of Pakistan. The functions of the State in today’s world have increased manifold which are sometimes performed through companies established by statutes or under the relevant company law. Therefore, the courts generally apply what is called the “function test” to determine whether a body or an entity is a “person” within the meaning of Article 199 of the Constitution. In ***Salahuddin and 2 others v. Frontier Sugar Mills & Distillery Ltd. and 10 others*** (PLD 1975 SC 244) the Hon’ble Supreme Court of Pakistan held:

“The primary test must always be whether the functions entrusted to the organization or the person concerned are indeed functions of the State involving some exercise of sovereign or public power; whether the control of the organization vests in a substantial manner in the hands of the Government; and whether the bulk of the funds is provided by the State. If these conditions are fulfilled, then the person, including a body politic or body corporate, may indeed be regarded as a person performing functions in connection with the affairs of the Federation or a Province; otherwise not.”

In ***Pakistan International Airline Corporation and others v. Tanweer-ur-Rehman and others*** (PLD 2010 SC 676) the apex Court laid down the following three-fold test:

- (i) Whether the functions entrusted to the organization or person concerned are indeed functions of the State involving some exercise of sovereign or public power;
- (ii) Whether the control of the organization vests in a substantial manner in the hands of Government; and
- (iii) Whether the bulk of funds is provided by the State.

The above view was reaffirmed in ***Abdul Wahab and others v. HBL and others*** (2013 SCMR 1383); ***Pakistan Defence Officers’ Housing Authority and others v. Lt.-Col. Syed Jawaid Ahmed*** (2013 SCMR 1707); ***Pir Imran Sajid and others v. Managing***

Director/General Manager Telephone Industries of Pakistan and others (2015 SCMR 1257); and ***Human Rights Case No.3564 of 2018 – In the matter regarding appointment of Managing Director, Pakistan Television Corporation*** (2019 SCMR 1).

8. The Corporate Governance Rules, which were framed under section 506 of the Companies Ordinance, 1984, read with clause (b) of section 43 of the Securities and Exchange Commission of Pakistan, 1997, have made the aforementioned determination somewhat easier by defining the “Public Sector Company”. Rule 2(1)(g) reads:

(g) “Public Sector Company” means a company, whether public or private, which is directly or indirectly controlled, beneficially owned or not less than fifty percent of the voting securities or voting power of which are held by the Government or any instrumentality or agency of the Government or a statutory body, or in respect of which the Government or any instrumentality or agency of the Government or a statutory body, has otherwise power to elect, nominate or appoint majority of its directors, and includes a public sector association not for profit, licensed under section 42 of the Ordinance.

9. Admittedly, NESPAK was established by the Government of Pakistan in 1973 as a private limited company under the Companies Act, 1913. The objective was to create a pool of talented engineers and attain self-reliance in engineering consultancy and replace foreign consultants.¹ At present it has a paid-up capital of Rs.5,000,000/- divided into 500,000 ordinary shares of Rs.10/- each. Out of these the Ministry of Energy (Power Division), Government of Pakistan, holds 499,993 shares while one share each is held by the Secretary, Ministry of Energy (Power Division), the Additional Chief Secretary, Ministry of Finance, the representatives of the Governments of Balochistan, KPK, Punjab and Sindh and the Managing Director/President, NESPAK. The company’s Board of Directors is also appointed by the Prime Minister. Importantly, it performs various functions which are essentially those of the State and, through the exercise of public power, creates public employments. Hence, NESPAK not only qualifies the above-mentioned “function test” by all standards but also falls within the definition of the Public Sector Company given in Rule 2(1)(g) of the Corporate Governance Rules. It is,

¹ <https://www.nespak.com.pk>

therefore, a “person” within the meaning of Article 199(1)(a) of the Constitution read with Article 199(5) thereof.

10. Mr. Nasim does not dispute the above legal position. His contention is that the employees of only those organizations can approach the High Court under Article 199 of the Constitution whose services are governed by statutory rules. Inasmuch as the Employees Service Rules of NESPAK are non-statutory, these petitions are not competent. But what are the “statutory rules”? In ***Pakistan Red Crescent Society and another v. Syed Nazir Gillani*** (PLD 2005 SC 806) the Hon’ble Supreme Court of Pakistan explained this concept as under:

“It is well-settled by now that where the Government while setting up a Corporation does not reserve to itself the power to regulate the terms of service of the Corporation’s employees under the relevant statute and does not prescribe any condition, but leaves it to the discretion of the Corporation by empowering it to frame rules or regulations in respect thereof without the Government’s intervention, then the Corporation will be the sole arbiter in the matter of prescribing the terms and conditions of its employees and will be competent to deal with them in accordance with the terms and conditions prescribed by it. In such a case neither a suit nor a writ petition for the relief of reinstatement will be competent and the remedy of an employee, for wrongful dismissal from or of termination of service, will be a suit for damages as the principle of master and servant will be applicable. However, where the terms and conditions of service of an employee of a statutory Corporation is regulated by a statute or statutory rules, any action prejudicial taken against him in derogation or in violation of the statute and/or the statutory rules will give him a cause of action to file a suit or a writ petition for the relief of reinstatement, as the power of the Corporation will be fettered with the statutory provisions and the principle of master and servant will not be applicable. For the purpose of deciding the factum, whether the rules or the regulations of a Corporation have the statutory force, the determining factor will not be their form or name, but the source under which they have been framed.”

11. In ***Chairman, State Life Insurance Corporation and others v. Hamayun Irfan and 2 others*** (2010 SCMR 1495) the apex Court held:

“Generally speaking, a statutory regulation means regulations which are legislative (as opposed to executive) made by a rule-making authority in exercise of statutory power with the approval of the central government or provincial government. Precisely it is the exercise of the delegated legislative power by the rule-making authority. Ordinarily it is also necessary that making and promulgation of a rule should be attended by certain formalities e.g. publication in government gazette as law laid down by this Court in various pronouncements.”

12. In ***Zarai Taraqati Bank Limited and others v. Said Rehman and others*** (2013 SCMR 642) the Hon’ble Supreme Court held that the statutory rules have the following three characteristics:

- (i) Rules or regulations are framed by statutory or public body;
- (ii) Those are framed under the authority or powers conferred in the statute;
- (iii) Those have statutory governmental approval or statutory sanction.

13. A further reference may be made to ***Pakistan Defence Officers' Housing Authority v. Mrs. Itrat Sajjad Khan and others*** (2017 SCMR 2010) in which the Hon'ble Supreme Court held:

“The test to gauge as to whether the service rules are statutory or not was laid down by this Court as far back as in the year 1984 in the case of the *Principal Cadet College, Kohat and another v. Mohammad Shoab Qureshi* (PLD 1984 SC 170) by holding that unless rules of service of a statutory body are made or approved by the Government, such rules could not be regarded as statutory but mere instructions for guidance. However, in the case of *Shafique Ahmed Khan v. NESCOM through Chairman, Islamabad* (PLD 2016 SC 377) as well as in the case of *Muhammad Zaman and others v. Government of Pakistan* (2017 SCMR 571), this Court while widening the scope of such criterion held that ‘the test of whether rules/regulations are statutory or otherwise is not solely whether their framing requires approval of the Federal Government or not, rather it is the nature and area of efficacy which determine their status. Rules dealing with instructions for internal control or management are treated as non-statutory while those, whose area of efficacy is broader and/or complementary to the parent statute in the matter of crucial importance, are statutory.’ ”

14. It would not be out of place to mention here that rules do not become statutory merely because a corporation has adopted any rules framed by the Government or has made them applicable by reference. Reliance is placed on ***M.H. Mirza v. Federation of Pakistan and 2 others*** (1994 SCMR 1024).

15. The question as to how the statutory and non-statutory rules affect the rights of the employees has been discussed in a number of judgments.² The law is now well settled that the employees of a statutory body whose conditions of service are not regulated by “rules/regulations framed under the Statute but only by Rules or Instructions issued for its internal use, any violation thereof cannot normally be enforced through

² Some of the leading cases include: *The Principal, Cadet College, Kohat, and another v. Muhammad Shoab Qureshi* (PLD 1984 SC 170); *Mrs. Anisa Rehman v. P.I.A.C. and another* (1994 SCMR 2232); *Muhammad Mubeen-us-Salam and others v. Federation of Pakistan and others* (PLD 2006SC 602); *Azizullah Memon v. Province of Sindh and another* (2007 SCMR 229); *Executive Council, Allama Iqbal Open University, Islamabad through Chairman and another v. M. Tufail Hashmi* (2010 SCMR 1484); *Pakistan International Airline Corporation and others v. Tanweer-ur-Rehman and others* (PLD 2010 SC 676); *Pakistan Telecommunication Co. Ltd. through Chairman v. Iqbal Nasir and others* (PLD 2011 SC 132); *Zarai Taraqati Bank Limited and others v. Said Rehman and others* (2013 SCMR 642); *Abdul Wahab and others v. HBL and others* (2013 SCMR 1383); *Pakistan Defence Officers' Housing Authority and others v. Lt.-Col. Syed Jawaid Ahmed* (2013 SCMR 1707); *Muhammad Zaman and others v. Government of Pakistan and others* (2017 SCMR 571); and *Pakistan Defence Officers Housing Authority v. Mrs. Itrat Sajjad Khan and others* (2017 SCMR 2010).

writ jurisdiction and they would be governed by the principle of ‘Master and Servant’.’³ There are, however, some exceptions to this canon out of which the following three are significant: first, the statutory body has violated the service rules or regulations framed by it under the powers derived from the statute and there is no adequate or efficacious remedy.⁴ Second, the body has disregarded the procedural requirements and the principles of natural justice while taking action in a service matter.⁵ Third, there is a statutory intervention.⁶

16. The rule of master and servant is not applicable to those cases also where there is violation of any law holding the field.⁷ Strictly speaking, this is an independent ground for judicial review, but it may be considered an extension of the third exception mentioned in the preceding paragraph. Here, the expression “violation of law” would not be confined to violation of any specific provision of a statute but, as observed by Hamoodur Rehman J. in ***Government of West Pakistan and another v. Begum Agha Abdul-Karim Shorish Kashmiri*** (PLD 1969 SC 14), it would include all that is treated as law in this country, including the judicial principles laid down by the superior courts from time to time.⁸ In ***Faisal Sultan v. E.D.O. (Education) and others*** [2011 PLC (C.S.) 419] it was held that the right to procedural due process and the right to be treated fairly are also intrinsic part of “law”.

17. In the present cases the Petitioners claim that NESPAK has issued the Impugned Termination Letters without procedural due process

³ *Pakistan Defence Officers’ Housing Authority and others v. Lt.-Col. Syed Jawaid Ahmed* (2013 SCMR 1707).

⁴ *Pakistan Defence Officers’ Housing Authority and others v. Lt.-Col. Syed Jawaid Ahmed* (2013 SCMR 1707); *Muhammad Rafi and another v. Federation of Pakistan and others* (2016 SCMR 2146); and *Pakistan Defence Officers Housing Authority v. Mrs. Itrat Sajjad Khan and others* (2017 SCMR 2010).

⁵ *ibid.*

⁶ *Pakistan Defence Officers’ Housing Authority and others v. Lt.-Col. Syed Jawaid Ahmed* (2013 SCMR 1707).

⁷ *Muhammad Dawood and others v. Federation of Pakistan and others* [2007 PLC (C.S.) 1046]. This view was affirmed by the Hon’ble Supreme Court in *Civil Aviation Authority v. Javed Ahmad and another* (2009 SCMR 956); and *Pakistan Defence Officers’ Housing Authority and others v. Lt.-Col. Syed Jawaid Ahmed* (2013 SCMR 1707).

⁸ This statement of law was reaffirmed by the Hon’ble Supreme Court in *Government of Pakistan through Director General, Ministry of Interior, Islamabad and others v. Farheen Rashid* (2011 SCMR 1).

and violated the Corporate Governance Rules. Inasmuch as these Rules are statutory and have the same force as a law enacted by the Parliament, the Petitioners have an independent cause of action. I, therefore, hold that these petitions are maintainable. The Respondents' objection is repelled.

18. The judgment delivered by a Division Bench of this Court in ***Dr. Tahir Masud v. Amjad Ali Khan and 4 others*** [2019 PLC (C.S.) 1167], which was heavily relied upon by Mr. Nasim in support of his objection, is distinguishable on facts so it does not run counter to my holding. In that case *R* was the Managing Director/CEO of NESPAK who attained the age of superannuation and was, therefore, retired w.e.f. 9.4.2017 through order dated 10.4.2017. He claimed that he has been re-appointed for three years by the company's Board of Directors before his superannuation so his retirement was illegal. Accordingly, he challenged order dated 10.4.2017 in this Court in its constitutional jurisdiction. NESPAK argued that the writ petition was not maintainable as the appointment/re-appointment of the Managing Director/CEO was governed by the company's Chief Executive Service Rules, 1977, which were non-statutory. The learned Division Bench upheld the objection – with which I respectfully agree. In contrast, the cause of action in the petitions before me has arisen from NESPAK's alleged infraction of the Corporate Governance Rules which are statutory. The Petitioners' claim is not premised on the company's Employees Service Rules and they do not seek enforcement thereof. The said Rules are not in question at all.

19. Let's now turn to the merits. The Corporate Governance Rules, as adumbrated, aim at good governance of the Public Sector Companies and for this purpose contemplate a sound and prudent management. Rule 3 stipulates that their Board of Directors shall consist of executive and non-executive directors, including independent directors and those representing minority interests, with the requisite range of skills, competence, knowledge, experience and approach so that the Board as a group includes core competencies and diversity considered relevant in the context of the company's operations. Rule 5 describes the responsibilities, powers and functions of the Board and Rule 5(7) obligates it to formulate significant policies for smooth and efficient running of the company which, as per clause (q) of Rule 5(7), includes

human resource policy and succession planning. Rule 12 mandates that the Board shall set up the committees stipulated therein for support in the efficient performance of its functions and assistance in the decision-making process. The human resource committee is one of them and it is required to deal with all employees-related matters, including recruitment, training, remuneration, performance evaluation, succession planning, and measures for effective utilization of the company's employees. It is important to see whether the above-mentioned provisions are mandatory.

20. The general principle is that the use of the word “shall” connotes that the provision is mandatory.⁹ However, other factors such as the object and purpose of the statute and the fact whether the legislature has provided any penal consequences for non-compliance are also instructive. In ***Province of the Punjab and others v. Javed Iqbal*** (2021 SCMR 328) the Hon’ble Supreme Court held:

“In order to determine whether the aforesaid proviso is directory or mandatory, the duty of the court is to try to unravel the real intention of the legislature. The ultimate test is the intent of the legislature and not the language in which the intent is clothed. The object and purpose of enacting the provision provide a strong and clear indicator for ascertaining such intent of the legislature. The intention of the legislature must govern and this is to be ascertained not only from the phraseology of the provision but also by considering its nature, its object, and the consequences which would follow from construing it one way or the other. This exercise entails careful examination of the scheme of the Act in order to discover the real purpose and object of the Act. A provision in a statute is mandatory if the omission to follow it renders the proceedings to which it relates illegal and void, while a provision is directory if its observance is not necessary to the validity of the proceeding. One of the important test that must always be employed in order to determine whether a provision is mandatory or directory in character is to consider whether the non-compliance of a particular provision causes inconvenience or injustice and, if it does, the court would say that that provision must be complied with and that it is obligatory in its character.”

21. A Full Bench of this Court has held in ***Mst. Ubaida Manzoor v. Government of the Punjab through Secretary Education (Schools), Lahore and 4 others*** [2012 PLC (C.S.) 101] that the canons for interpretation of statutes apply to interpretation of Rules with the same force. The Corporate Governance Rules, as observed earlier, seek to

⁹ *State of Haryana and another v. Raghubir Dayal* [(1995) 1 SCC 133]; and *Province of Punjab through Secretary Excise and Taxation Department, Lahore and others v. Murree Brewery Company Limited (MBCL) and another* (2021 SCMR 305).

promote good governance in the Public Sector Companies by improving efficiency, discipline and accountability. Insofar as Rules 5 & 12 are concerned, they use the word “shall” and their objective is to structure the discretionary powers of the top management and, on the human resource side, check nepotism and favouritism. Rule 25 sanctions contravention of the Corporate Governance Rules. On the touchstone of *Javed Iqbal’s* case, *supra*, Rules 5 & 12, *ibid*, are mandatory.

22. According to Mr. Bajwa, NESPAK has dispensed with the services of the Petitioners under a comprehensive plan. A large number of employees have been sent packing and advertisement has been placed in the news dailies dated 26.1.2022 and 20.3.2022 (copies provided to the Court) inviting applications for fresh appointments some of which are against the posts held by the Petitioners. Albeit Mr. Nasim has refuted this suggestion in the strongest possible words, the fact is that there is no policy under which all this is being done. The Corporate Governance Rules contemplate that there should be a well-defined mechanism for all such exercises.

23. The matter does not end here. The Impugned Termination Letters are cyclostyled and inexplicit. For facility of reference the substantive part of the one issued to Petitioner Muhammad Tahir Nawaz Cheema is reproduced below:

“You were appointed through letter No.2679/25/KI/9788E/33040 dated June 01, 2019, however, your services are no more required and as such in terms of Sr. No. 11 of terms and conditions of your appointment letter, your services are hereby dispensed with immediate effect, however, in terms of Sr. No.11 of your appointment letter’s cheque of Rs.407,024/- (Four Lac Seven Thousand Twenty Four Only) as payment of three (03) months’ pay in lieu of three months’ notice is attached.”

24. The courts disapprove of the notices which merely intimate the employee/worker that his services are no more required because they cannot justify his termination. Reliance is placed on ***Farooq Ahmed v. Delta Shipping (Pvt.) Ltd.*** (2006 PLC 102); ***Ghulam Rasool Tahir v. IVTH Sindh Labour Court, Karachi through Presiding Officer and another*** (2007 PLC 83); and ***M.D. Escorts Pakistan Ltd. v. Munawar Khaliq*** (2009 PLC 50). Mr. Nasim attempted to distinguish these authorities on the ground that they pertain to labour laws but, in my

opinion, the scope of the legal principle expounded therein is not restricted. In ***Faisal Sultan v. E.D.O. (Education) and others*** [2011 PLC (C.S.) 419], a case relating to Secondary School Educators, Syed Mansoor Ali Shah, J. of this Court held that the Executive District Officer has a statutory duty under section 24A of the General Clauses Act, 1897, to give reasons. He added: “It ensures transparency and accountability of public institutions and makes them stronger ... Unreasoned orders generate corruption, weaken institutions and slowly eat into the foundations of a healthy democracy.”

25. There are also issues with the termination clause in the Petitioners’ appointment letters which NESPAK has invoked for the impugned action. The courts have held that the public sector employments cannot be snapped with one stroke of pen as it offends various provisions of the Constitution, particularly Article 4 (right to be dealt with in accordance with law). In ***Faisal Sultan v. E.D.O. (Education) and others*** [2011 PLC (C.S.) 419] this Court declared them against public policy. Relevant excerpt is reproduced below:

“The underlined portion above allows the Local Government to terminate without assigning reason (for brevity the ‘No Reason Clause’). This does not stand the test of fundamental rights, reason, logic, ethics or good governance. While the whole world is moving towards accountability and transparency, the above unfettered and unchecked power can be a recipe for corruption, mismanagement, nepotism and jobbery. Foundations of good governance are based on reasons, accessibility, accountability, transparency, participation, consensus, inclusiveness, efficiency, ethics and responsiveness. The ‘No Reasons Clause’ *ex facie* lacks the requirement of fairness and procedural due process thereby offending Article 4 of the Constitution. The said Clause is facially and *ex facie* discriminatory besides being liable to be used in a discriminating manner thereby violating Article 25 of the Constitution.”

The Court further held:

“The ‘No Reason Clause’ is a breeding ground for nepotism and cannot be allowed. Clause 8 of the termination clause to the extent where the termination can be without assigning any reason is struck down as opposed to public policy, logic, good governance, duty of fairness, procedural due process and is facially discriminatory under Articles 4 and 25 of the Constitution. The Provincial and Local Governments shall bear this in mind before drafting employment contracts.”

26. In ***Muhammad Ashraf Tiwana and others v. Pakistan and others*** (2013 SCMR 1159) the Hon’ble Supreme Court declared such

‘No Reason Clause’ in the non-statutory rules of the SECP as *ultra vires* the Constitution. It held:

“It must be stated that in a civilized dispensation which is rule-based and is aimed at good governance, such whimsicality cannot be countenanced. Such autocratic practices may be in consonance with the legacy of our colonial past wherein the prevalent monarchical disposition subjected senior State functionaries, even judges, to holding office at the monarch’s pleasure. But, as we noted in *Muhammad Yasin’s* case (PLD 2012 SC 132), our law has come a long way from those days. It does not allow for dismissal of ‘public servants’ in such an imperious and arbitrary manner. There is another important reason why this cannot be done. We have repeatedly held that all functionaries of the State, be they Civil Servants or senior echelons of corporate/statutory bodies such as SECP are above all, fiduciaries of the people. As such they can only exercise their powers in good faith in the public interest and not on the basis of personal likes or dislikes or on the basis of whims and fancies. Thus, the power to terminate implies within it that it is not the power of a despot, tyrant, *seth* or *wadera*, but the power of a trustee and fiduciary in the service of the people.”

The above case was cited with approval in ***Pakistan Defence Officers’ Housing Authority v. Mrs. Itrat Sajjad Khan and others*** (2017 SCMR 2010).

27. NESPAK has sent the Petitioners home under a plan which has neither been prepared nor approved in accordance with the Corporate Governance Rules. It lacks transparency and fairness and completely disregards the principle of procedural due process. Even the Impugned Termination Letters do not meet the standards of good governance developed over the years in respect of public sector employments. Hence, the company’s action against the Petitioners cannot be approved.

28. The rights of the Petitioners must be balanced with the interests of the State. Public institutions should not be allowed to become a breeding ground for parasites. They should have the freedom to manage their affairs in an appropriate manner so that they may deliver and come up to expectations of the nation. If NESPAK needs any restructuring or new policies to improve its working, including those relating to human resource, it must go ahead subject to the condition that it complies with the Corporate Governance Rules and ensures transparency and non-discrimination.

Disposition

29. Writ Petition No. 5801/2022 and those mentioned in the Schedule hereto are **accepted** and the Impugned Termination Letters are set aside subject to the observations made in the preceding paragraph.

(Tariq Saleem Sheikh)
Judge

Naeem

Approved for reporting

Judge

SCHEDULE

Sr. No.	W.P. No.	Title	Counsel
1	6511/2022	Naveed Anwar v. Federation of Pakistan etc.	Mr. Shahid Anwar Bajwa, for the Petitioner. Syed Muhammad Haider Kazmi, Assistant Attorney General for Respondent No.1. Ch. Waseem Ismail, Advocate, for Respondents No.2 & 3.
2	7045/2022	Qamar Fareed etc. v. Federation of Pakistan etc.	M/s Kh. Mohsin Abbas, Ijaz Ahmad Awan, Adnan Qamar Malik and Sultan Ali Awan, Advocates, for the Petitioners. Syed Muhammad Haider Kazmi, Assistant Attorney General for Respondents No.1 & 2. Hafiz Tariq Nasim, Advocate, for Respondents No.3 to 5.
3	7372/2022	Syeda Samar Kazmi v. Federation of Pakistan etc.	Mr. Akhtar Rasool Joiya, Advocate, for the Petitioner. Syed Muhammad Haider Kazmi, Assistant Attorney General for Respondents No.1 & 6. Mr. Manzoor Hussain Butt, Advocate, for Respondents No.2 to 5.
4	7717/2022	Hina Habib-ur-Rehman v. Federation of Pakistan etc.	Mr. Rustam Nawab Lak, Advocate, for the Petitioner. Syed Muhammad Haider Kazmi, Assistant Attorney General for Respondents No.1 & 2. Hafiz Tariq Nasim, Advocate, for Respondents No.3 to 5.
5	8942/2022	Hassan Iqbal v. Federation of Pakistan etc.	Ch. Amin Rehmat, Advocate, for the Petitioner. Syed Muhammad Haider Kazmi, Assistant Attorney General for Respondents No.1 & 2. Mr. Zubda-tul-Hussain, Advocate, for Respondents No.3 to 6.
6	9569/2022	Mazhar Hussain Jami v. Federation of Pakistan etc.	Kh. Mohsin Abbas, Advocate, for the Petitioner. Syed Muhammad Haider Kazmi, Assistant Attorney General for Respondents No.1 & 2. Hafiz Tariq Nasim, Advocate, for Respondents No.3 to 5.
7	10818/2022	Muhammad Javed Iqbal v. Federation of Pakistan etc.	M/s Kh. Mohsin Abbas, Ijaz Ahmad Awan, Adnan Qamar Malik and Sultan Ali Awan, Advocates, for the Petitioner. Syed Muhammad Haider Kazmi, Assistant Attorney General for Respondents No.1 & 2. Mr. Zubda-tul-Hussain, Advocate, for Respondents No.3 to 5.
8	11130/2022	Rana Natasha Shoaib Awan v. Federation of Pakistan etc.	Mr. Muhammad Mubashir Aslam Zar, Advocate, for the Petitioner. Syed Muhammad Haider Kazmi, Assistant Attorney General for Respondents No.1 & 2. Hafiz Tariq Nasim, Advocate, for Respondents No.3 to 5.